Business Economics: LastMinutePDF Premium Rapid Revision Guide

Business Economics

Premium Rapid Revision Guide

"Logic. Markets. Decisions."

Introduction to Business Economics

Meaning of Business Economics

The application of economic theory and tools to real-world business decision-making — bridging the gap between abstract economic principles and practical managerial problems.

Nature & Scope

Encompasses both normative (what ought to be) and positive (what is) dimensions. Interdisciplinary by nature, drawing from statistics, management, and operations research.

Micro vs. Macro Economics

Microeconomics focuses on individual units — firms, consumers, and markets. Macroeconomics examines economy-wide aggregates such as GDP, inflation, and employment.

Role of the Economist in Business

Supports key functions including pricing strategy, demand forecasting, optimal resource allocation, and government policy analysis to guide strategic decisions.

Demand Analysis

Law of Demand
Inverse relationship between price and quantity demanded, holding other factors constant.

Demand Function
Qd = f(P, Y, T, Px, Pe)

Determinants of Demand

- Income (Y)
- Prices of substitutes & complements (Px)
- Tastes & preferences (T)
- Price expectations (Pe)

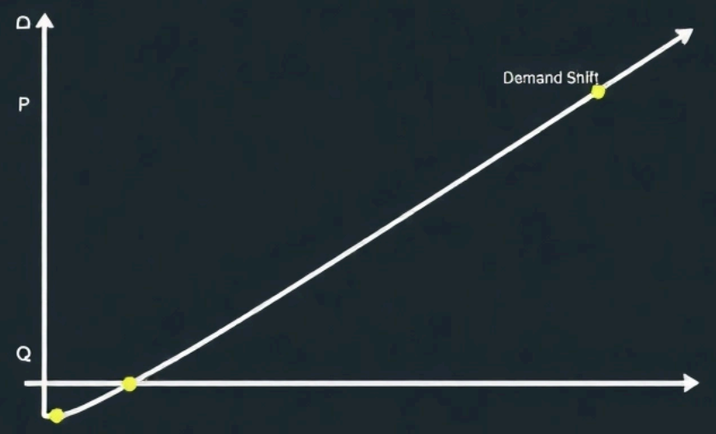
Demand Curve
Slopes downward. A price change = movement along the curve. A change in income or preferences = shift of the entire curve.

Price Elasticity: Ep = %ΔQ / %ΔP
Income Elasticity: Ey = %ΔQ / %ΔY
Cross Elasticity: Exy = %ΔQx / %ΔPy
|E| > 1 → Elastic | |E| < 1 → Inelastic | |E| = 1 → Unitary

Solved Examples
① Price Elasticity
Price: ₹10 → ₹12 | Qty: 100 → 80
Ep = (−20/100) ÷ (2/10) = −1 → Unitary elastic

② Income Elasticity
Income: ₹20k → ₹25k | Demand: 50 → 60
Ey = (10/50) ÷ (5k/20k) = 0.8 → Normal good, inelastic

③ Cross Elasticity
Price of Y ↑10% → Demand for X ↑5%
Exy = 5%/10% = 0.5 → Substitutes



Law of Supply: As price rises, quantity supplied rises — *ceteris paribus*. Equilibrium is reached where Qd = Qs, and market forces push price toward this balance.

SUPPLY CURVE

- Movement along curve — caused by price change
- Shift of curve — input costs, technology, taxes, expectations
- Supply curve slopes upward left to right

EQUILIBRIUM MECHANISM

- Excess demand (shortage) — price below equilibrium → price rises
- Excess supply (surplus) — price above equilibrium → price falls
- Market forces self-correct toward equilibrium

Production & Cost Analysis

Production Function
Q = f(L, K)

Law of Diminishing Returns
As labour increases with fixed capital, marginal product eventually declines.

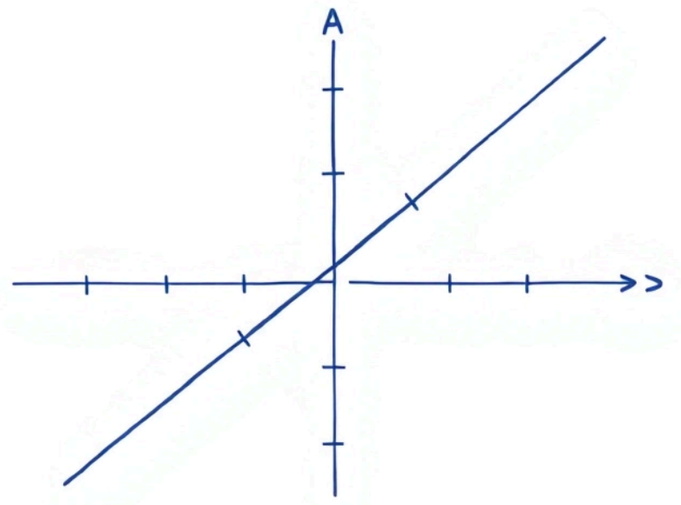
Returns to Scale
Increasing: output rises proportionately more than inputs
Constant: output rises proportionately with inputs
Decreasing: output rises proportionately less than inputs

Short-run vs Long-run
Short run: at least one input is fixed (usually capital)
Long run: all inputs variable; firms can enter or exit

Cost Concepts
TC = FC + VC
AC = TC / Q
MC = ΔTC / ΔQ

Cost Curve Shapes
AC and MC are U-shaped in the short run
MC intersects AC at its minimum point
Long-run AC (LRAC) is an envelope of all short-run AC curves

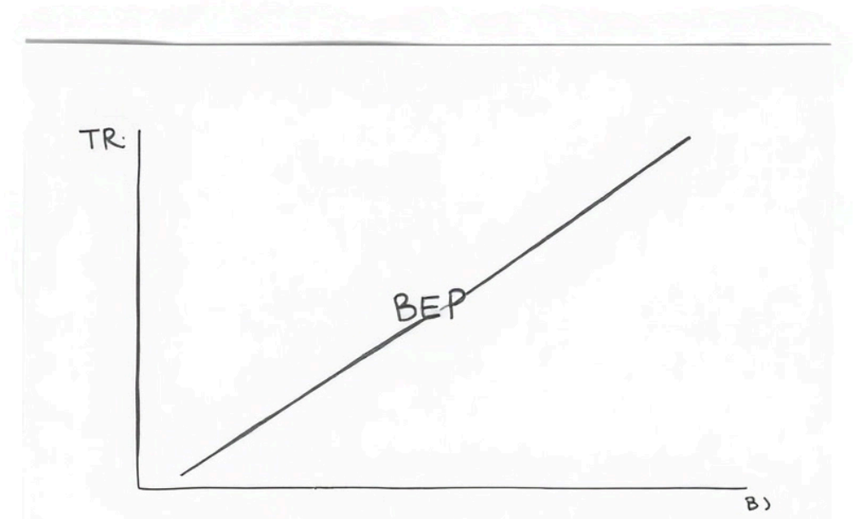
Key Relationship
When MC < AC → AC is falling
When MC > AC → AC is rising
When MC = AC → AC is at minimum



Revenue & Break-Even Analysis

Revenue Formulas
TR = Price × Quantity
MR = ΔTR / ΔQ
Profit = TR − TC
Break-Even Formulas
BEP (units) = Fixed Cost ÷ (Price − VC per unit)
Contribution = Price − Variable Cost
Graph Insight
BEP = intersection of TR and TC lines.
Below BEP → Loss zone
Above BEP → Profit zone

Example 1
Fixed Cost = ₹50,000
Price = ₹100 | VC/unit = ₹60
Contribution = 100 − 60 = ₹40
BEP = 50,000 ÷ 40 = 1,250 units
Example 2
Fixed Cost = ₹1,20,000
Selling Price = ₹200 | VC/unit = ₹80
Contribution = 200 − 80 = ₹120
BEP = 1,20,000 ÷ 120 = 1,000 units
TR at BEP = 1,000 × 200 = ₹2,00,000



Market structures

Overview of the four major market structures and their defining characteristics.

Criteria	Perfect Competition	Monopoly	Monopolistic Comp.	Oligopoly
NUMBER OF SELLERS	Many	One	Many	Few
PRODUCT TYPE	Homogeneous	Unique	Differentiated	Homogeneous/ Differentiated
PRICE CONTROL	None (price taker)	High (price maker)	Some	Some
ENTRY BARRIERS	None	Very high	Low	High
LONG-RUN PROFIT	Normal only	Supernormal	Normal only	Supernormal

National Income

GDP (Expenditure Method)
GDP = C + I + G + (X − M)

C — Private consumption
I — Investment
G — Government expenditure
X − M — Net exports

Nominal vs Real GDP
Nominal GDP: Measured at current prices — affected by inflation, not a true growth indicator.

Real GDP: Adjusted for inflation using a base year — the true measure of economic growth.

3 Methods of Measuring National Income

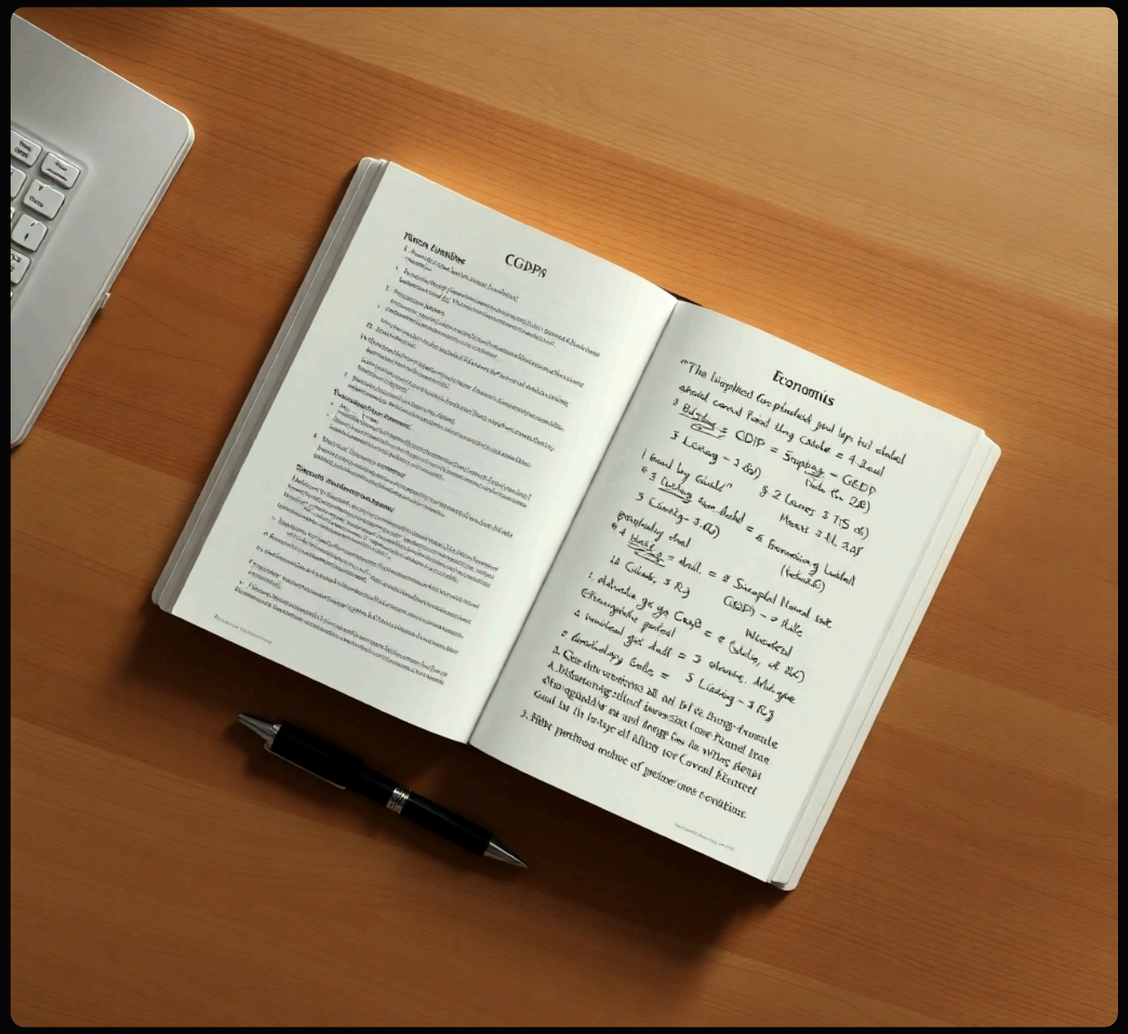
1. Expenditure Method
Sum of all final expenditures in the economy.

2. Income Method
Sum of factor incomes — wages, rent, interest & profit.

3. Output / Value-Added Method
Sum of value added at each production stage.

Limitations of GDP

- Ignores income inequality
- Excludes informal / shadow economy
- Misses environmental degradation



DEEP DIVE — INFLATION & UNEMPLOYMENT

Inflation & Unemployment

Inflation Rate = (Current Price Index – Previous Price Index) / Previous Price Index × 100

KEY CONCEPTS

INFLATION TYPES

- **Demand-pull:** Excess demand over supply pushes prices up
- **Cost-push:** Rising input costs (wages, raw materials) drive supply costs up
- **Phillips Curve:** Inverse short-run relationship between inflation and unemployment

TYPES OF UNEMPLOYMENT

- **Frictional:** Temporary joblessness between jobs
- **Structural:** Skills mismatch from technology or industry shifts
- **Cyclical:** Caused by economic downturns; rises in recession, falls in expansion

The Business Cycle moves through four phases — expansion, peak, recession, and trough — tracked by leading, coincident, and lagging indicators.

FOUR PHASES OF THE CYCLE

- Expansion — rising GDP, employment & consumer spending
- Peak — full capacity; inflation risk at its highest
- Recession — GDP falls 2+ consecutive quarters; unemployment rises
- Trough — lowest activity; recovery begins here

ECONOMIC INDICATORS

- Leading — stock market, building permits, consumer confidence
- Coincident — GDP, employment, industrial production
- Lagging — unemployment rate, interest rates, CPI

GOVERNMENT POLICY

Tools governments & central banks use to steer the economy

Deep Dive

Key terms

Repo Rate
Rate at which RBI lends to banks

Reverse Repo
Rate at which banks park funds with RBI

CRR
Cash banks must hold with RBI

SLR
Liquid assets banks must maintain

FISCAL POLICY — GOVERNMENT

- Expansionary: ↑ govt spending, ↓ taxes → stimulate demand
- Contractionary: ↓ spending, ↑ taxes → curb inflation

MONETARY POLICY — CENTRAL BANK

- Expansionary: ↓ interest rates, ↑ money supply → encourage borrowing
- Contractionary: ↑ rates, ↓ money supply → control inflation

ROLE OF RBI — INDIA

- Sets repo rate & reverse repo rate
- Manages CRR & SLR
- Controls money supply for price stability
- Acts as lender of last resort

Most Repeated University Questions

Long Theory (20 Qs)

Law of Demand · Price Elasticity · Diminishing Returns · Short-run vs Long-run Costs · Break-Even Analysis · Perfect Competition vs Monopoly · Features of Oligopoly · GDP & Expenditure Method · Types of Inflation · Business Cycle Phases · Fiscal & Monetary Policy · Returns to Scale

High-Weightage Topics

Break-Even Analysis · Market Structures (PC, Monopoly, Oligopoly) · GDP Measurement · Inflation & Unemployment · Business Cycle · Fiscal & Monetary Policy

Short Concepts (20 Qs)

Define Business Economics · Demand Function · Law of Supply · Market Equilibrium · Marginal Cost · Contribution & BEP Formula · Price Taker · Monopoly & Barriers to Entry · GDP Formula · Frictional vs Structural Unemployment · Repo Rate · Micro vs Macro Economics · Fiscal Policy

Exam Writing Tips

Start with definitions · Use diagrams (verbal where required) · Give solved numerical steps clearly · Use headings & bullet points · Link theory to real-world examples

Numericals (10 Qs)

Price Elasticity calculation · Income Elasticity & good classification · Cross Elasticity · BEP in units & revenue · TC / AC / MC from schedule · MR from TR schedule · Profit (TR − TC) · Real GDP at base-year prices · Inflation rate via CPI · Contribution Margin & BEP

Quick Recall Formulas

PED = %ΔQd / %ΔP · BEP = FC / (SP − VC) · GDP = C + I + G + (X−M) · Real GDP = Nominal GDP / Price Index × 100 · Inflation Rate = $(CPI_2 - CPI_1) / CPI_1 \times 100$

Quick Tricks & Answer Writing Strategy

|E| > 1 → Elastic → Luxury goods → Price ↑ reduces TR
|E| < 1 → Inelastic → Necessities → Price ↑ increases TR
|E| = 1 → Unitary → TR unchanged

MC is always U-shaped and cuts AC at its lowest point
"MC is the boss — it leads, AC follows"
FC is flat · VC rises · TC = FC + VC

Perfect Competition: Many, same, no power
Monopoly: One, unique, full power
Monopolistic: Many, different, some power
Oligopoly: Few, watch each other, some power

1. Define the concept (2–3 lines)
2. State the formula or law
3. Explain with assumptions or conditions
4. Give a real-world example or numerical
5. End with a diagram note or implication

- Label axes: Price (Y-axis), Quantity (X-axis)
- Mark the equilibrium point clearly
- Show shift direction with arrows
- Name every curve: D, S, AC, MC, TR, TC
- Write one line explaining what the graph shows

One-page rapid revision sheet

DEMAND FORMULAS

$Qd = f(P, Y, T, Px, Pe)$

$Ep = \%\Delta Q / \%\Delta P$ $Ey = \%\Delta Q / \%\Delta Y$ $Exy = \%\Delta Qx / \%\Delta Py$

COST FORMULAS

$TC = FC + VC$ $AC = TC / Q$ $MC = \Delta TC / \Delta Q$

REVENUE & BREAK-EVEN

$TR = P \times Q$ $MR = \Delta TR / \Delta Q$ $Profit = TR - TC$

$BEP = FC / (P - VC)$ $Contribution = P - VC$

GDP & INFLATION

$GDP = C + I + G + (X - M)$

$Inflation\ Rate = (CPIcurrent - CPIprev) / CPIprev \times 100$

ELASTICITY QUICK REFERENCE

$|E| > 1$ = Elastic (luxury) $|E| < 1$ = Inelastic (necessity)

$Ey > 0$ = Normal good $Ey < 0$ = Inferior good

$Exy > 0$ = Substitutes $Exy < 0$ = Complements

MARKET STRUCTURE SUMMARY

Structure	Sellers	Price Control	Entry	LR Profit
Perfect Competition	Many	None	Free	Normal
Monopoly	One	Full	Blocked	Super
Monopolistic	Many	Partial	Easy	Normal
Oligopoly	Few	Partial	Restricted	Super

EXAM MEMORY TIPS

- BEP rises when FC ↑ or contribution margin ↓
- In perfect competition: P = MR = AR (price taker)
- Monopolist: MR < AR — always produce where MR = MC
- GDP deflator vs CPI: deflator covers all goods, CPI = basket
- Phillips curve: Inflation ↑ ↔ Unemployment ↓ (short run)